F. No. 17015/02/2019-Credit-II
Government of India
Ministry of Agriculture & Farmers Welfare
Department of Agriculture, Cooperation & Farmers Welfare
Krishi Bhawan, New Delhi
Dated: 13th July 2021

To,

CGM/GM (Priority Sector/Agri Business)
All Commercial Banks (Public and Private Sector Banks,RRBs and Co-operative Banks)

Subject: Standard Operating Procedure (SoP) for Bank Branch Users for PMFBY/RWBCIS implementation during Kharif 2021season-regd

Sir/Madam,

Kindly refer to this Department's letter dated 11/06/2021 regarding regular monitoring of PMFBY implementation at all levels of hierarchy including LDM and HO level for adherence of seasonality discipline mentioned in OGs. Since, enrolment season of Kharif 20021 is already started, it is important that the bank officers at the branch level across all banks needs to be sensitized on core activities to be performed under PMFBY implementation.

2. In this context, following broad Standard Operating Procedure (SoP) is formulated for the bank branch officers/users to highlight role of banks and financial institutions, especially the bank branches for taking up major activities, processes and protocols to be followed, timelines to be adhered to during various phases of PMFBY implementation for ensuring error-free data entry on PMFBY portal (www.pmfby.gov.in).

3. In view of the above, it is requested to kindly bring the notice to all concerned including Bank branches about aforesaid SoP for information and strict compliance for implementation of PMFBY/RWBCIS.

Yours faithfully,

13/07/2021

Encl: as above

(Sunil Kumar)
Asstt. Commissioner (Credit)

Copy for information and circulation amongst concerned Bank branches to

1. SLBC Conveners of all implementing State Governments
2. Principal Secretary (Agri./Hort./Coop.) of all implementing State Governments

Standard Operating Procedure (SoP) for Bank Officials at Branch Level for PMFBY/RWBCIS Implementation

Department of Agriculture, Cooperation & Farmers Welfare (DAC&FW), Government of India has issued detailed Operational Guidelines for implementation of Pradhan Mantri Fasal Bima Yojana (PMFBY) and Restructured Weather Based Crop Insurance Scheme (RWBCIS) specifying the major activities, process & timelines for its completion, role & responsibilities of different stakeholders, consequences/penalties for errors/omissions and stratified grievance redressal mechanism etc. Financial Institutions are the major stakeholders in implementation of the scheme, hence Clause 35.5 of the Revamped Operational Guidelines describes main role of banks in PMFBY implementation. This include- enrolment of farmers (loanee and non-loanee), facilitate "Opting Out" and "Opting In" process of loanee farmer participation/enrolment in voluntary regime, reporting of farmer's intimations about localized calamities and post-harvest losses to implementing Insurance Companies, educating farmers about scheme provisioning, crop loss intimation and grievance redressal mechanism and sharing claim settlement information to approaching farmers.

Bank branches are performing certain core activities during various phases of PMFBY implementation. Broadly, these activities are categorized as, Pre-enrolment activities, scrutinizing of the information/documents of loanee farmers for their coverage as per the notification issued by concerned State Governments, activities during enrolment of farmers, debiting farmer share of premium and generating challan, remittance of premium through NCIP, uploading of farmer details on NCIP and reconciliation of farmer premium and farmer data uploaded with implementing Insurance Companies.

Since, Banks and Rural Financial Institutions are the key stakeholders and major contact point for rural farmers, error-free enrolment of loanee and non-loanee farmers by the concern bank branches is highly essential.

According to clause 17.2 of the Revamped OGs, for any lapse or error on the part of bank branches in the process of debiting farmer premium, remittance of farmer premium to Insurance Companies and incorrect/partial/non-uploading of farmer details on NCIP, concerned banks are liable to pay claims to the eligible farmers. Further, there is provisions of imposing penal interest on the payable claim amount on the erring bank branches. This is important because

only those farmers whose data is uploaded on the NCIP will be eligible for Insurance Coverage and accordingly the premium subsidy will also be released.

In the above context, it is felt essential to enlist the major activities, process, timelines, and role of Financial Institutions specially, the Bank Branches and frame a brief SoP (Standard Operating Procedure). Accordingly, following SoP is framed to be followed by the bank branches during various phases of PMFBY implementation.

A. Pre- Enrolment activities

1. Create/Delete/Manage users' credential/ Log in ID for each bank branch on National Crop Insurance Portal (NCIP) – www.pmfby.gov.in as required in case of bank officers, who are getting transferred from one bank branch to another or gets retired.
2. Scrutinizing the information/documents of loanee farmers for their coverage as per the notification issued by concerned States. Pl remember that the loanee farmers availing crop loan for notified crops should only be covered and only up to the acreages mentioned in his/her loan application.
3. Ensure that all branches within their jurisdiction sanction additional loan component to loanee farmers towards premium payable by them while issuing KCC.
4. Check E-notification for village master and crop master etc before commencement of enrolment for keeping check on missing out villages or crops to avoid last minute issues pertaining to non-visibility of villages or crops at the time of enrolment.
5. In case of missing/wrongly notified village or crop, bank branches should proactively intimate the State Govt. to take the corrective measures.
6. Concerned banks need to create login credential for designated Business Correspondents (BCs) on the NCIP and ensure approval of eligible BCs be compulsorily done by the branch head of the concerned bank branches. Business activities undertaken by these designated BCs need to be monitored by concerned bank branch head.
7. Branch users can download previous year reports of farmer applications enrolled by them. This may include farmer name, account number, aadhaar number, crop insured, village etc. Proper creation and maintaining such datasheet will help bank branch users in verifying farmer application details before enrolling on NCIP.
8. Aadhar is mandatory for coverage/enrolment under the PMFBY/RWBCIS scheme. Hence, ensure all bank branches have **updated/latest Aadhar**

details of all the loanee farmers/KCC holders. In case of any mismatch, bank may collect latest e-Aadhar to verify the time and date for the correction, if made in his/her Aadhar.

9. Nominate one official at each bank branch as PMFBY Facilitator or direct contact point to famers related to crop insurance related queries.
10. Ensure proper display of PMFBY related activities and PMFBY timeline in each branch.
11. To plan and execute awareness generation activities in co-ordination with State Government and Implementing Insurance Companies, especially mobilizing non-loanee farmers.
12. Display of IEC material shared by State Government or implementing Insurance Companies in all bank branches. Bank branches to be equipped with relevant applications forms in adequate numbers.
13. Ensure proper display of scheme details pertaining to PMFBY including notified crops, Sum Insured, farmer share of premium, enrolment cut-off date, implementing insurance company, toll-free number of Insurance Companies, addresses offices opened and contact details of District and Block Co-ordinator deployed by of Insurance Companies.

B. Enrolment of farmers

1. Ensure proper enrolment of both loanee and non-loanee farmers under PMFBY and RWBCIS scheme.
2. Banks to authorize nominated Banking Correspondents (BCs) associated with designated bank branches of Rural Financial Institutions to collect the applications/premium from the desirous non-loanee farmers like CSC-VLE.
3. Ensure capturing of aadhar details while enrolling farmers under PMFBY.
4. Since, the scheme has been made voluntary for all farmers, banks need to **keep proper record of farmer declarations who have opted out and should encourage them to opt in again and regularly monitor their numbers.**
5. Ensure enrolment of all the loanee farmers who have not opted out of the scheme.
6. Regularly monitor the list of farmers whose KCC account has turned into default account. Branch users may guide these defaulting farmers to enroll under PMFBY as non-loanee farmers.
7. Encourage enrolment of non-loanee farmers like PM- Kisan Beneficiaries or farmers who have Jan Dhan Accounts/Savings Accounts with the bank branches.

B. Debiting farmer premium

1. Initiate farmer application data entry on portal well in advance rather than holding it till last date of enrolment cut-off date. This will help in reducing work burden during rush hours at the end of enrolment season.
2. Ensure timely debiting of farmer share of premium from loan account of loanee farmer and savings account of non-loanee farmers before enrolment cut off date, as specified in the respective State Notification issued by the State Government.
3. Bank-Branches must debit the farmer premium share well before the enrolment cut-off date for the season.
4. Bank-Branch must generate the challan and raise the NEFT/RTGS against the challan within 15 days the enrolment cut-off date.
5. Challan generation and payment against challan should be avoided on last day of enrollment. It is because in case of failure, refund may take 2-3 days and challan generation process is stopped after cut-off.

C. Challan Generation and Remittance of Premium

1. All the consolidated farmer premium debited is to be remitted to implementing Insurance Companies by generating proper challan and payment is to be made to the Insurance Company within the indicated timeline **through NCIP only**.
2. NEFT/RTGS transfer amount against the challan should exactly match with the transaction amount mentioned on the challan slip (including amount in Paisa). Do not round off the NEFT/RTGS amount even for the second decimal place. **This amount includes the service of Rs 5.00 Plus 18% GST i.e Rs 5.90.**
3. Ensure that service charge of Rs 5.90 per challan is included in the final payment.
4. Ensure payment of challan amount **within 48 hours of challan creation**.
5. **Follow all Term and Condition mentioned on the generated challan for making payment.**
6. Ensure proper attachment of farmer applications against generated challans through wallet.
7. Avoid mistake of making payment to another branch.
8. CBS integrated Banks or the user in-charge of multiple branches should select the branch carefully during challan generation. In case of wrong selection of the branch; the wallet amount will be reflected of the selected branch; however, the application belongs to some other branch.
9. Regularly check Generated Challan List to ensure all challans are properly generated without any mistake.

10. Regularly check payment transaction details to ensure successful payment towards generated challans.
11. Regularly check wallet details for reflection of successfully paid challan amount getting added to the wallet.

D. Uploading of farmer details of NCIP

1. Ensure timely and correct uploading correct farmer's information like crop details, bank details, personal details on NCIP within 15 days after enrolment cut-off date as per timelines specified in State Notification for notified crops and districts.
2. Enter correct bank details, farmer details and crop details on NCIP while enrolment. The applicable claim amount is directly credited to the bank account of the eligible farmers by the Insurance Companies, hence, correct bank account, IFSC code of farmers should be entered in Portal for financial transaction. In case of failure of transaction in farmer's account, Aadhar Enable Payment (AEP) is also adopted for claim settlement.
3. Please enter correct farm address where land is located and do not mistaken it with residential address. Since, the scheme also cover the localized risks and Post-harvest losses in which claims are settled based on crop loss survey of individual insured land parcel.
4. Do not forget to check application preview to correct any mistake if occurred while filling farmer application.

E. Reconciliation of farmer premium and farmer details

1. Ensure timely reconciliation of farmer share of premium and farmer data uploaded on NCIP with implementing Insurance Companies.
2. Regular co-ordination with implementing ICs during data reconciliation period for minimizing errors.
3. In cases of payment failure/mistaken payment to other branch/payment status not visible, etc, bank branch will Write to ZO/RO nodal officer - SLBC - State Govt/Insurance Companies with all details - *UTR No., Date & Challan No., Date of RTGS. Amount etc.* For the time being, payment of premium need to be borne by banks/branch.
4. In cases, like wrong linkage of a/c no. and Aadhaar no etc, bank branch to share a list of such accounts with implementing IC. The IC will de-links the Aadhaar and a/c no, and after that the banks can put correct Aadhaar against an a/c no.

F. Other Key points

1. Compile and refer to all communications/directives issued by the State Government/GOI from time to time.

2. Immediately bring to the notice of SLBC/State Government, any IT related issues like, payment failure, non-return of failed payment, payment not sure if failed or successful resulting many farmer's premium remain unpaid etc. for quick resolution.
3. Raise invoice to Insurance Companies for payment of service charges to banks
4. Reporting of crop loss intimations received from farmers regarding localized calamities and post-harvest losses to implementing Insurance Companies within 48 hours of receipt of intimations from farmers.
5. Educating farmers about use of Crop Insurance App for reporting hassle-free crop loss intimation.
6. Educate loanee farmers about crop change name facility to avoid mismatch in crop sown and crop reporting during loss assessment surveys in case of localized calamities and post-harvest losses resulting into application and claim rejection.
7. Respond to issues flagged by implementing ICs/State Government for quick resolution.
8. Ensure all branches to have email id, and contact details of RO/ZO officers or State admin, SLBC and LDMs for raising issues/problems and grievances through proper channel.
9. To guide farmers to approach District Agriculture Officer/DGRC/SGRC for his/her grievance redressal.
10. Keep a track of enrolment figures vis-a-vis enrolment in the past season. Such comparison will help branch users in monitoring shortfall in the enrolment by a particular bank or branch so that remedial action may be taken.

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